EXECUTIVE SUMMARY

1. Introduction

The Local Government Unit of Lal-lo is a first class municipality with a population of 50,755 based on a survey conducted by the Barangay Population Officers as of December 31, 2019. It has 35 barangays spread over 70,280 hectares. It is the fourth largest municipality in the Province of Cagayan in terms of land area.

Lal-lo, historically, was Cagayan Valley's first City. It was then named "Ciudad de Nueva Segovia" by Juan Pablo Carreon in 1581, visited by Juan Salcedo in 1572 and Luis Perez Dasmarinas in 1592. It was the capital of Cagayan up to 1839 and has been the first home of the 15th century image of our Lady of Visitation, now known as Our Lady of Piat.

Today, we have seen changes and countless achievements not only in terms of infrastructure projects but also on institutional and social aspects. This municipality has been a consistent winner on Solid Waste Management, Nutrition, Clean and Green in the Provincial, Regional as well as National level and the Seal of Good Housekeeping by the DILG. During the last quarter of 2016, the LGU was conferred the Seal of Good Local Governance, the highest award given by DILG to LGUs wherein it is the pioneer 1st class municipality to receive such award in the whole province. To include, the CSC RO2 had awarded LGU Lal-lo the Maturity Level 2 in Performance Management System under the Program Institutionalized Meritocracy and Excellence in Human Resource Management (PRIME-HRM). For 2017, the LGU was awarded the Red Orchid Award from the Department of Health for implementing a 100% tobacco-free environment and following the World Health Organization's (WHOs) "MPOWER" framework.

The audit covered the accounts and operations of the Municipality of Lal-lo, Cagayan for the year 2019 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the International Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and finds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audit were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Lal-lo, Cagayan for the year ended December 31, 2019, with comparative figures for calendar year 2018 are as follows:

Particulars	2019	2018	Increase (Decrease)	
			Amount	Percentage
Financial Position				
Assets	596,417,961.53	600,212,180.60	-3,794,219.07	(.63)
Liabilities	291,216,524.90	385,326,658.17	(94,110,133.27)	(24.42)
Govt. Equity	305,201,436.63	214,885,522.43	90,315,914.20	42.03
Financial Performance				
Income	255,315,652.54	224,929,669.56	30,385,982.98	13.51
Expense	222,883,426.67	187,256,839.52	35,626,587.15	19.03
Appropriations, Allotments and Obligation				
Appropriations	365,299,194.42	400,121,660.71	(34,822,466.29)	(8.70)
Obligations	279,906,596.26	283,196,885.13	(3,290,288.87)	(1.16)

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Lal-lo, Cagayan as at December 31, 2019 due to the following:

1. The amount of "Road Network" account in the financial statements of the municipality amounting to P19,098,585.43 is understated due to the non-recording of the amount of public infrastructure from 2016 and prior years based on the Registry of Public Infrastructures as well as the non-reconciliation with the Road Map and the Local Road Inventory Report, thus, the 100% phased recognition of the Local Road Networks in the books of the Municipality was not complied with contrary to Item IX of COA Circular No. 2015-008 dated November 23, 2015.

2. The balances of "Due from Other Funds" and "Due to Other Funds" under the Intra-agency Receivable and Payable accounts as at December 31, 2019 have an unreconciled variance amounting to P5,828,150.65, thus, the fairness of the presentation of the related assets, liabilities and other pertinent income and expense accounts may have been affected contrary to Section 111 of PD 1445.

4. Significant Findings and Recommendations

Below is the recommendation on the above-stated basis for qualified opinion:

1. We recommended that the Municipal Mayor direct the:

    a) Municipal Accountant to record all road networks and its components, based on the Registry of Public Infrastructures, or in its absence, based on the complete Local Road Inventory Report provided with complete description and cost segregation of the road components and provide proper disclosure of the road networks in the Notes to Financial Statements;

b) General Service Officer (GSO) to maintain an updated Local Road Inventory and Road Map and keep a complete Local Road Network Property Card of all roads within its area of jurisdiction;

c) Municipal Engineer to provide the Municipal Accountant and the GSO with the complete description and cost segregation of the components of all roads within its area of jurisdiction;

d) Inventory Committee to conduct inventory of local roads, highways and bridges within its area of jurisdiction which were acquired thru purchase or construction, donations or transfers without cost.

2. We recommended that the Municipal Accountant review, analyze and reconcile the intra-agency accounts and exert efforts to locate the documents supporting the transfers to facilitate reconciliation and effect the necessary adjustments in the financial records of the Municipality.

The other significant audit observations and recommendations are the following:

1. Fuel, oil and lubricants amounting to P1,110,793.32 were charged against the 20% Development Fund despite the non-submission of Program of Works contrary to Sections 2.3 and 3.0 of the Joint Memorandum Circular No. 2017-1 dated February 22, 2017 of the DILG and DBM, hence, the propriety of charging thereon cannot be verified.

   We recommended that Management specifically identify the projects in the Annual Investment Plan consistent with the allowable projects provided in Joint Memorandum Circular No. 2017-1 dated February 22, 2017 and ensure that the expenditures programmed partake the nature of investment and capital expenditure and the same be properly supported with the corresponding Programs of Works to vouch proper charging of fuel, oil and lubricants expenditures to the 20% Development Fund.

2. Some procurement procedures were not properly conducted and vital contract documents relative to infrastructure projects were not submitted to the Auditor for review contrary to procedures prescribed in the Revised Implementing Rules and Regulations (RIRR) of Republic Act No. 9184, thereby, casting doubt on the regularity of the procurements of the Municipality.

   We recommended, for observance of the Municipality to economy and transparency requisites in government procurements, that the Municipal Mayor being the head of the procuring entity (HoPE) to:

   a. Cause the submission to the Audit Team the contract documents containing the following:

1) A copy of the approved Bidding Documents intended for sale to prospective bidders prepared in accordance with Section 17 of the RIRR;

2) A certification issued by the BAC Secretariat that the invitation to bid for each contract was posted in at least three (3) conspicuous places within the Municipality pursuant to Section 21.2.1 of the RIRR;

b. Direct the Bids and Awards Committee to:

1) Conduct bid evaluation and post-qualification procedures during the procurement process pursuant to Sections 32 and 34 of the RIRR to ensure award of contract to the responsive and eligible bidders;

2 Upload the Bidding Documents in the PhilGEPS as required in Section 17.4 of the RIRR to give interested bidders sufficient information about the procurement at hand;

3) Require the bidders to submit statements of their SLCC, as specified in the Bidding Documents, in compliance with Section 23 of the RIRR so as to ensure that the prospective bidder has the technical and financial capability to undertake the contract;

4) Prepare minutes of meetings containing the details of the procurement activities and upload the Notice of Award and Notice to Proceed in the PhilGEPS as required in Sections 37.1.6 and 37.4.2 of the RIRR.

3. Warranty security prescribed by Section 62.2.3.2 of the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184 were not required from various contractors resulting in unguaranteed recovery of the Municipality from damages arising from structural defects and failures in the project from the final acceptance up to the period stated therein. Certificates of Acceptance were also issued upon completion of the projects instead of after the defect liability period pursuant to the same provision of the said law.

   We recommended that management require the contractors to submit warranty security posted in favor of the Municipality to guaranty recovery in case of structural defects and failures attributable to improper construction, use of inferior quality/substandard materials, and any violation of the contract plans and specifications that may arise from the final acceptance up to the period prescribed by Section 62.2.3.2 of the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184. We also recommend that Certificate of final acceptance should only be issued after the defects liability period.

5. Summary of Total Suspensions, Disallowances and Charges

Suspensions and Disallowances amounting to P25,130,000.00 and P420,000.00 respectively, remained unsettled as of December 31, 2019.

Settlement of Suspensions and Disallowances is shown on table below:

Particulars	Beginning Balance (As of January 01, 2019)	This Period January 01 – December 31, 2019 (See B Below)		Ending balance (As of December 31, 2019)
		NS/ND/NC	NSSDC	
Notice of Suspension	25,130,000.00	-	-	25,130,000.00
Notice of Disallowance	420,0000.00	-	-	420,0000.00
Notice of Charge	-	-	-	-
Total	**P25,550,000.00**	**-**	**-**	**P25,550,000.00**

The above disallowance has become final and executory and has been issued COA Order of Execution (COE) dated October 26, 2018 and was also duly received by Management on even date.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the twenty-four (24) audit recommendations of last year's report, thirteen (13) were fully implemented, four (4) were partially implemented and 7 (seven) was not implemented as at year-end.